

**Time:** 5 minutes**Outcome:** Explain supply, quantity supplied, and movements along a supply curve.**Difficulty:** ●●○ Intermediate

Supply & the Law of Supply



THE CORE IDEA

Supply describes the quantities sellers are willing and able to offer at different prices, holding other supply conditions constant. Quantity supplied is the amount sellers offer at one particular price. The law of supply states that a higher own price generally increases quantity supplied and a lower own price decreases it, all else equal. An own-price change causes movement between points on the same supply curve; it does not shift the curve.



HOW TO RECOGNIZE IT

- The good's own price changes while production conditions remain constant.
- The question asks for quantity supplied at a particular price.
- Two points lie on the same upward-sloping supply curve.
- A higher price is paired with a larger quantity supplied.

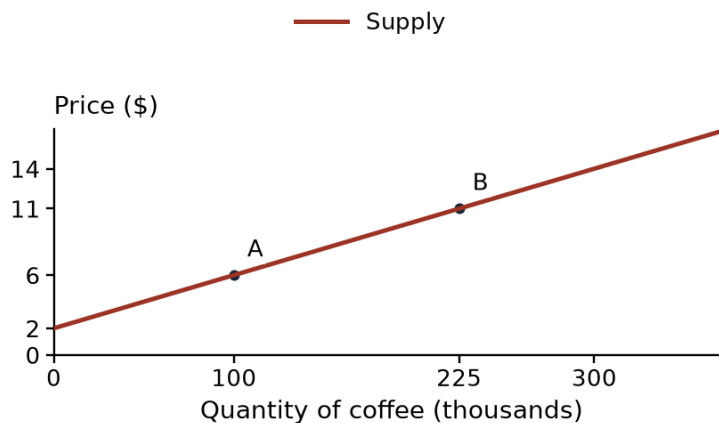


WATCH OUT

A common mistake is to call every change in quantity a shift in supply. If the good's own price changes and sellers move from one point to another on the same supply curve, quantity supplied changes. Supply itself shifts only when a nonprice determinant changes.



WORKED EXAMPLE: MOVEMENT ALONG SUPPLY



On the coffee supply graph, point A shows a price of \$6 and quantity supplied of 100 thousand. Point B shows a higher price of \$11 and quantity supplied of 225 thousand. Because both points lie on the same supply curve and only coffee's own price changes, the move from A to B is an increase in quantity supplied of 125 thousand, not an increase in supply.



CHECK YOURSELF

The market price of handmade tables rises and sellers move to another point on the same supply curve. What changes?

**READY?**

Return to the game and master this concept.